Aditya Birla Capital Limited (ABCL)

Process Note on Credit Underwriting of STSL & MLAP

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Activity snapshot

No.	Activities	Key Activities
1	Demography and Document Validation	Personal/Business Information, Document Checks, Entity Tagging etc.
2	Deduplication Checks	Khoj Application Usage
3	RCU and Hunter Checks	RCU Status
4	Field Inspection (FI/CPV)	FI Triggering, PD Waiver, Q-Verify Upload
5	Credit Bureau Analysis	CIBIL Pulls, Bureau Review, Fraud Checks
6	Collateral ID Generation	Property Details, Dedupe, Top-Up Matching
7	Query Management	Raising/Resolving Queries, Tray Movement
8	Financial Eligibility Assessment	Financial Uploads, Banking Information, Manual Analysis
9	Verification Fields	PAN Mismatch, Hunter, Manual Dedupe, Checklist
10	Decline Process	Soft/Hard Decline, Reason Documentation
11	Appraisal Notes	Credit Memo, Profiling, Compliance, PD Documentation
12	Legal Verification	Legal Report Review, Status Update
13	Property Valuation	Technical Report, LTV Norms, Approval Matrix
14	Document Checklist	Sanction Conditions, CAAD Approval, KYC, Compliance
15	CAM Summary	CAM Inputs, Exposure Details, Business Overview
16	Pre-Approval Requirements	Hunter Decline, Legal, Technical, CAM Completion
17	Disbursement Request Stage	Loan Schedule, Fees, Insurance, SKR Check, Final Sanction Conditions
18	Final Case Movement	Transition to BOPS via Operations Tab

Objective

To streamline and comprehensively document the process flow and detailed steps undertaken by the Credit team during the underwriting process. This initiative aims to enhance operational efficiency, ensure consistency, improve turnaround time (TAT), and establish a standardized reference for training, audits, and process optimization for STSL and MLAP product.

Process note on Credit Underwriting

Sr. Nos.	Particulars
1	**Demographic Details and Document Validation**
	• Perform cross-validation to ensure all required data is correctly entered in the system. • Validate Name, PAN, Date of Birth (Age), and applicant images. • Verify business name and vintage proof (as per current STSL/MLAP product program). • Validate business registration documents (GST, Shop Act, Udyam, etc.). • Ensure address matches OVD and shared documents as per norms. • Categorize profiles correctly (self-employed/Salaried etc.). • Tagging of business entity type correctly: Proprietorship/Partnership/Private Limited Company/Etc.. • Check business income proof and documents (Income Tax Return (ITR)/Financials, if processed under the Normal Income Program or any program as may be defined as per policy) • All documentations are in compliance with the ABCL policy norms. • Customer risk category tagging as per KYC policy and also to put renewal date accordingly, date after 2 years for HIGH Risk customer, 7 years for Medium Risk Customer and 10 years for LOW risk Customer.
2	**Check Dedupes**
	Use the Khoj application to identify any possible matches. Also Lentra do posidex check via API integration When UNSCR check match/ Not exact match is observed, this check is performed outside lentra by CM.
3	**RCU Check fields for RCU Status / Hunter Declined case**
	• If RCU is declined, check the reason and escalate to the concerned business person for mitigation.
4	**Field Inspection – (FI/CPV)**
	• FI is triggered /retriggered/waived as per requirements. • Credit (At DDE Stage/CRDT Stage) initiates Residence FI during appraisal if the case is deemed doable (or the process as may be defined from time to time) and physical PD to be conducted at the same address as per the norms • If physical PD is completed, FI may be waived. • If there are doubts or location concerns, Credit may trigger both FIs. • Credit to check the FI/CPV report and weigh the risks associated with him and then take a defined call

	• The SOPs for decision of FI to be followed (Positive/Negative) • Conduct Video PD, Physical PD, or Vendor cum Video PD (This happens outside Lentra)
5	**Credit Bureau Pull & Analysis**
	• Pull Individual CIBIL (auto-populated). • Trigger Commercial CIBIL based on entity type. • Review bureau data: score, existing loans, repayment history, delay payments • Check for dual PAN cards if triggered. • Pull additional CIBIL manually if required. • Conduct bureau and fraud checks through primary-level due diligence: • Applicant (Promoter/Owner) • Guarantor (if applicable) • Entity (Commercial Bureau)
6	**Collateral ID generation**
	• Fill in collateral details: area, valuation, proposed loan, residual age, etc. • Cross-check property details and perform dedupe before generating collateral ID • For top-up loans, match the collateral ID with the primary collateral. • Every time when we do any changes in collateral address, collateral Dedupe to be run mandatorily to have CMS updated further as CERSAI is now automated from CMS
7	**Query Management**
	• Raise queries for document pendency or customer unavailability • Move the case to the respective tray after raising the query • View Queries → Add → Select Role → Fill Query → Raise → Send → Move Case
8	**Eligibility / Financials Tab/List**
	• Upload P&L, Balance Sheet, Cash Flow Statement, and Ratio Analysis (Excel format) if appraising under the Income Program. • Fill in banking details and mark the primary bank for repayment. • Perform manual financial analysis as per product and policy norms. • Minimum/Maximum Loan Amount Calculation • LTV, DSCR, FOIR Calculation • Business vintage, sector, risk category • Plot Repayment track (current obligations and running loans). • Capture eligibility: correct program, income/expenses, Financial Year range, tenure, sanction amount
9	**Verification Fields**
	• Check mismatch screen for PAN details. • Perform Go-No-Go and Hunter checks. • Conduct manual dedupe checks (RBI, Watch Out, Google) and document findings in Excel or Word. • Complete basic checks using checklist and dropdowns.
10	**Soft Decline / Hard Decline**
	• If the case is not being appraised, case to be declined (Soft/Hard Decline). • When IMD is in presented status - SOFT DECLINE, When IMD has cleared/ bounced status - HARD DECLINE • The reason for the decision needs to be documented.
11	**Appraisal Notes (Upload credit memo or summary note)**
	• General Details (PD details and loan requirements) • Customer Details - Customer profiling (business, applicant, co-applicants) • Business details (group exposure, group companies, valuation comparison, credit quality, policy criteria) • Observations and remarks • Asset details (SORP/SOCP/Mixed Usage, Plot etc.) • MSME classification (Service/Trading/Manufacturing -As per MSMED Act 2006 and notification as and when revised, governed by ministry of finance) • Underwriting & Compliance Check (Basic checks and capture Positive/ Negative) • Underwriting Compliances (Strengths/Weakness) • Collateral offer check • PD images and PD Done trigger • Upload all of the PD visit/ site visit report (photos with geo tagging, premises, inventory)
12	**Legal Verification**
	• Legal report data entry is done by legal team/ CM in legal verification TAB • Check and document the legal report. • Ensure verification status is marked as “Verified” and dropdown legal status is “Clear”.

13	**Technical Valuation**
	• Technical report is DATA entry done by technical team/ technical vendor under valuation verification TAB • Review and document the valuation report. • Validate and assess the technical report. • Ensure funding aligns with LTV norms. • Validate conditions and approval matrix.
14	**Document Check list**
	• Cross-validate sanction conditions as per the deviation matrix. • Submit for CAAD-level approval if required (move case to Approver's tray). • Validate Deemed OVD module (ensure KYC norms are met). • Check compliance details (LEI applicability and documentation).
15	**CAM Summary**
	• Capture CAM inputs in Lentra • Group Exposure Details • Borrower Exposure Details • CAM Summary (business overview, promoter profile, financial assessment, bureau summary, deviations, sanction conditions)
NOTE	**Note on Query Resolution Module and Related Activities**
	• The Business Team resolves case queries, attaches the required documents in Lentra, and moves the case from FOS to DDE. • The CPA Team reviews the documents. If found satisfactory, the case is moved to CRDT, where the Credit Manager (CM) also verifies the documents and triggers RCU as needed. • The Credit Team marks the query as Resolved in the Query Module to proceed further. • Once approved, the Credit Team moves the case back to DE, indicating that the case is principally approved, provided the Business Team has resolved all Technical, Legal, and Credit-related queries. • After the Business Team resolves the queries and moves the case to DDE, and subsequently to CRDT, and all norms are met, the case is raised for final approval.
16	**Pre-Approval Requirements**
	Before final approval, ensure the following are cleared: • Hunter Check • Technical (including generation of Technical Collateral ID) • Legal Report Clearance • Field Investigations must be completed and cleared. If not, the case cannot proceed(unless otherwise stated) • Once Technical and Legal entries are fulfilled, the case is moved to Negotiation. • The Business Team must upload all required documents and complete the CAM.
17	**Disbursement Request Stage** (Before disbursement, Credit Manager to review the applicable details)

	The credit manager applies certain sanction conditions in the Lentra while underwriting i.e. gives subjective approvals. Before disbursal of the case, the underwriter needs to remove the subjectivity basis the documents/understanding received. This stage is DR (Disbursement Stage).
	
	• **Schedules**
	  ○ Expected Disbursement Date
	  ○ Instalment Start Date
	  ○ Repayment Variation
	  ○ Loan Amount
	  ○ Number of Instalments
	  ○ Tenure
	  ○ EMI Cycle Date
	  ○ Rate of Interest (ROI)
	  ○ BPI Date
	  ○ Disbursal Type
	  ○ The LMS Schedule will reflect the loan repayment schedule
	• **Fees and Charges**
	  ○ Login Fees
	  ○ CERSAI Fees
	  ○ Stamp Duty
	  ○ Sanction Fees
	• **Lock-in Periods:**

	○ Foreclosure Charges: 12 months ○ Part Payment Charges: 12 months • **Insurance:** ○ Life Insurance ○ Health Insurance ○ Property Insurance • **Repayment Details** ○ Capture complete repayment banking details, including SPDC Instrument information. • **Disbursement Memo** ○ Approved Loan Amount ○ Total Disbursable Amount ○ Amount Disbursed to Date ○ Current Disbursable/Undisbursed Amount ○ Percentage of Disbursed Amount • **Request Details** ○ Disbursal Date ○ Cheque Handover Date ○ Gross Disbursement ○ Net Disbursement Amount • **Beneficiary Details** ○ Credit Transfer Destination ○ Beneficiary Information • **SKR Cross-Check (Verify):** ○ Document Descriptions ○ Status (Original/Notarized/Copy) ○ Document Date (DD/MM/YY) ○ Status (PDD/Received/OTC) ○ Target Date ○ PDD Category (Critical-High, Critical-Low, Non-Critical) **Final Sanction Conditions** ○ At this stage, Sanction/CAM conditions are re-verified and classify as Received / PDD /OTC accordingly
18	• **Once fulfilled, the case is moved to BOPS** (via the Operations – Disbursement Memo Tab)

Abbreviations

Below mentioned are the list of abbreviations used in the process note above:

Abbreviation.	Detailed Version
RCU	Risk Containment Unit
FI	Field Investigation
CPV	Contact Point Verification
PD	Physical Discussion
LTV	Loan to Value
CAAD	Credit Approval Authority Delegation
KYC	Know Your Customer
CAM	Credit Appraisal Memo
BOPS	Branch Operations
GST	Goods and Service Tax
OVD	Original Valid Document
DDE	Detailed Data Entry
CRDT	Credit
DSCR	Debt Service Coverage Ratio
FOIR	Fixed Obligation to Income Ratio
SORP	Self Owned residential property
SOCP	Self occupied Commercial Property
LEI	Legal Entity Identifier
FOS	Field Officer Sales

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